



CARIBBEAN EXAMINATIONS COUNCIL

**CARIBBEAN SECONDARY EDUCATION CERTIFICATE®
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 02 – General Proficiency

2 hours

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of FIVE questions. Answer ALL questions.
2. Write your answers in the spaces provided in this answer booklet.
3. Do NOT write in the margins.
4. You are advised to take some time to read through the paper and plan your answers.
5. If you need to rewrite any answer and there is not enough space to do so on the original page, you must use the extra lined page(s) provided at the back of this booklet. **Remember to draw a line through your original answer.**
6. **If you use the extra page(s) you MUST write the question number clearly in the box provided at the top of the extra page(s) and, where relevant, include the question part beside the answer.**

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

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Answer ALL questions.

1. (a) List FOUR instruments of exchange.

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(4 marks)

- (b) Outline TWO ways in which money facilitates trade in the modern economy.

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(4 marks)



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(c) State TWO characteristics of EACH of the following types of businesses.

(i) Sole proprietorships (sole traders)

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(ii) Public limited companies

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(iii) Cooperatives

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(6 marks)



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Total 20 marks

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2. (a) Identify FOUR potential sources of conflict within the workplace.

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(4 marks)

- (b) List FOUR actions that employees may take to gain the upper hand during periods of conflict.

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(4 marks)



(c) Describe EACH of the following strategies that may be used in the resolution of conflict in the workplace.

(i) Grievance procedure

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(ii) Mediation

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(iii) Arbitration

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(6 marks)

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- (d) Explain TWO strategies that may be adopted by management to build good relationships between management and staff in the workplace.

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3. (a) Distinguish between the 'subsistence level of production' and the 'domestic level of production'.

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(4 marks)

- (b) List THREE characteristics of cottage industries.

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(3 marks)

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- (c) (i) State THREE functions of small businesses in rural communities.

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(3 marks)

- (ii) State TWO advantages and TWO disadvantages of small businesses.

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(4 marks)

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- (d)

Explain TWO possible effects the firm's growth may have on the **internal** operations of the business.

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(6 marks)

Total 20 marks

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4. (a) Define EACH of the following forms of technology used in business.

(i) E-commerce

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(ii) Global positioning system (GPS)

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(4 marks)

(b) List FOUR activities involved in supply chain operations.

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(4 marks)

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- (c) Outline THREE advantages of supply chain operations to a firm.

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(6 marks)



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Total 20 marks

5. (a) List FOUR social services which are provided by a government for the citizens of its country.

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(4 marks)

- (b) Outline TWO responsibilities of a government to its citizens.

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(4 marks)



- (c) Describe THREE ways in which governments may assist in the development of the local business sector.

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- (d) Education could be considered one of the great growth industries of developing economies.

Explain TWO ways in which education could contribute to economic growth in the Caribbean region.

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(6 marks)

Total 20 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.

